

OF TRANSMUTATION OF POSSESSION.

WHERE *there is valuable consideration*,¹ and a trust is intended to be created, formalities are of minor importance, since if the transaction cannot take effect by way of trust executed, it may be enforced by a Court of Equity as a contract. But *where there is no valuable consideration*, and a trust is intended, it has been not unfrequently supposed that, in order to give the Court jurisdiction, there must be *Transmutation of possession*—i.e., the legal interest must be divested from the settlor, and transferred to some third person. But upon a careful examination of the authorities the principle will be found to be, that whether there was transmutation of possession or not, the trust will be supported—provided it was in the first instance *perfectly created* (a).

The cases upon this subject may be marshalled under the following heads:—

1. **Where some further act is intended.**—It is evident that a trust is *not perfectly created* where there is a *mere intention* of creating a trust, or a *voluntary agreement* to do so, and the

(a) See *Ellison v. Ellison*, 6 Ves. 647; *Meek v. Kettlewell*, 1 Hare, 469; 662; *Pulvertoft v. Pulvertoft*, 18 Ves. 662; *Fletcher v. Fletcher*, 4 Hare, 74; 99; *Sloane v. Cadogan*, Sug. Vend. & Price v. Price, 14 Beav. 508; *Bridge v. Bridge*, 16 Beav. 315; *Beech v. Keep*, 18 Beav. 285; *Donaldson v. Donaldson*, 1 Kay, 711; *Scales v. Maude*, 6 De G. M. & G. 43; *Airey v. Hall*, 3 Sm. & G. 315.

¹ *Valuable consideration*.—*Pownal v. Taylor*, 10 Leigh, 183; *Baldwin v. Humphrey*, 44 N. Y. 609; *Haskill v. Freeman*, 1 Wms. Eq. 34; *Wadsworth v. Wendell*, 5 Johns. Ch. 224; Even where a husband conveyed directly to his wife, it was held a trust; *Garner v. Garner*, 1 Busb. Eq. 1; *Livingston v. Livingston*, 2 Johns. Ch. 537; *Fellows v. Heermans*, 4 Lans. 230; *Huntly v. Huntly*, 8 Ired. Eq. 250; if the *cestui que trust* cannot be identified, the trust cannot be executed; *Owens v. Owens*, 8 C. E. Green, 60; *Dillaye v. Greenough*, 45 N. Y. 438; if no trustee is named in the deed, the instrument will be reformed; *Burnside v. Wayman*, 49 Mo. 356.